How Long Is the Long Run?

When people talk about the long run, they are really saying that they can distinguish between the signal and the noise. Yet the world is a terribly noisy place. Discriminating between the main force and the perpetual swarm of peripheral events is one of the most baffling tasks that human beings must confront—and can never duck.

For those investors infested with quarterly measurements, a year can be the long run and five years is just about the outer limit.

Do two unusually warm winters in a row signify the onset of global warming, or are they a normal variation, to be succeeded by bitterly cold winters in the years following? When the championship baseball team loses three games in a row, is that the beginning of the end of their league dominance, or a brief interruption in their string of victories? When the stock market drops 10 percent, is that the start of a new bear market or just a correction in the ongoing bull market? Was October 1987 the beginning of the end, or the end of the beginning?

Those long-run investors who believe that they can distinguish signal from noise scorn the traders who are so busy chasing the wiggles and the ripples that they run the risk of losing the main trend. The watchwords of the true long-run investor are "regression to the mean." In the long run, everything will even out; main trends are identifiable; main trends dominate. This concept rules much active investment management. The very idea of "undervaluation" or "overvaluation" implies some identifiable norm to which values will